



Report of Independent Auditors and
Financial Statements

Turtle Island Restoration Network

June 30, 2024 and 2023

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Report of Independent Auditors

To The Board of Directors
Turtle Island Restoration Network

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Turtle Island Restoration Network (the Organization), which comprise the statements of financial position as of June 30, 2024 and 2023, and the related statements of activities and changes in net assets, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Organization as of June 2024 and 2023, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

A handwritten signature in black ink that reads "Moss Adams LLP". The signature is written in a cursive, flowing style.

San Francisco, California
December 3, 2024

Financial Statements

Turtle Island Restoration Network
Statements of Financial Position
June 30, 2024 and 2023

	<u>2024</u>	<u>2023</u>
ASSETS		
CURRENT ASSETS		
Cash and cash equivalents	\$ 1,062,807	\$ 1,285,482
Accounts receivable	62,321	147,904
Prepaid expenses and deposits	<u>32,991</u>	<u>39,251</u>
Total current assets	1,158,119	1,472,637
INVESTMENTS	1,019,389	865,672
FIXED ASSETS, net	<u>2,191,834</u>	<u>2,225,918</u>
Total assets	<u><u>\$ 4,369,342</u></u>	<u><u>\$ 4,564,227</u></u>
LIABILITIES AND NET ASSETS		
CURRENT LIABILITIES		
Accounts payable	\$ 17,035	\$ 51,446
Accrued expenses	114,763	138,681
Deferred revenue	-	14,236
Line of credit	<u>-</u>	<u>450,000</u>
Total current liabilities	<u>131,798</u>	<u>654,363</u>
NET ASSETS		
Without donor restrictions	3,956,485	3,684,102
With donor restrictions	<u>281,059</u>	<u>225,762</u>
Total net assets	<u>4,237,544</u>	<u>3,909,864</u>
Total liabilities and net assets	<u><u>\$ 4,369,342</u></u>	<u><u>\$ 4,564,227</u></u>

See accompanying notes.

Turtle Island Restoration Network
Statements of Activities and Changes in Net Assets
Year Ended June 30, 2024

	Without Donor Restrictions	With Donor Restrictions	Total
REVENUES, GAINS, AND OTHER SUPPORT			
Grants and awards	\$ 240,000	\$ 472,614	\$ 712,614
Contributions	928,384	-	928,384
Program services income	79,309	-	79,309
In-kind donations	1,575,425	-	1,575,425
Investment return, net	141,816	-	141,816
Other loss, net	(3,674)	-	(3,674)
Net assets released from restrictions	417,317	(417,317)	-
Total revenues, gains, and other support	3,378,577	55,297	3,433,874
EXPENSES			
Program services	2,695,918	-	2,695,918
General and administrative	243,885	-	243,885
Fundraising	166,391	-	166,391
Total expenses	3,106,194	-	3,106,194
CHANGE IN NET ASSETS	272,383	55,297	327,680
NET ASSETS, beginning of year	3,684,102	225,762	3,909,864
NET ASSETS, end of year	\$ 3,956,485	\$ 281,059	\$ 4,237,544

See accompanying notes.

Turtle Island Restoration Network
Statements of Activities and Changes in Net Assets
Year Ended June 30, 2023

	Without Donor Restrictions	With Donor Restrictions	Total
REVENUES, GAINS, AND OTHER SUPPORT			
Grants and awards	\$ 250,000	\$ 420,126	\$ 670,126
Contributions	1,183,606	-	1,183,606
Program services income	271,602	-	271,602
In-kind donations	852,772	-	852,772
Investment return, net	59,049	-	59,049
Other loss, net	(4,592)	-	(4,592)
Net assets released from restrictions	291,856	(291,856)	-
Total revenues, gains, and other support	2,904,293	128,270	3,032,563
EXPENSES			
Program services	2,348,412	-	2,348,412
General and administrative	258,232	-	258,232
Fundraising	185,183	-	185,183
Total expenses	2,791,827	-	2,791,827
CHANGE IN NET ASSETS	112,466	128,270	240,736
NET ASSETS, beginning of year	3,571,636	97,492	3,669,128
NET ASSETS, end of year	<u>\$ 3,684,102</u>	<u>\$ 225,762</u>	<u>\$ 3,909,864</u>

See accompanying notes.

Turtle Island Restoration Network
Statements of Functional Expenses
Year Ended June 30, 2024

	Program Services	General and Administrative	Fundraising	Total Expenses
Salaries & wages	\$ 471,842	\$ 69,916	\$ 77,676	\$ 619,434
Employee benefits	75,545	11,194	12,436	99,175
Payroll taxes	38,124	5,649	6,276	50,049
Subtotal personnel	585,511	86,759	96,388	768,658
Depreciation	29,828	2,103	2,153	34,084
Dues, fees, & other charges	17,593	18,501	548	36,642
Insurance	74,966	5,286	5,412	85,664
Maintenance & repairs	2,113	149	153	2,415
Newsletters & communications	303,222	23,913	55,479	382,614
Occupancy	18,461	1,302	1,333	21,096
Contracted services	24,844	2,546	2,218	29,608
Postage	4,469	315	323	5,107
Professional fees	1,575,425	100,704	-	1,676,129
Research activities	5,000	-	-	5,000
Restoration	23,652	-	-	23,652
Supplies	19,078	1,345	1,377	21,800
Travel	8,631	609	623	9,863
Other	3,125	353	384	3,862
Total expenses	\$ 2,695,918	\$ 243,885	\$ 166,391	\$ 3,106,194

See accompanying notes.

Turtle Island Restoration Network
Statements of Functional Expenses
Year Ended June 30, 2023

	Program Services	General and Administrative	Fundraising	Total Expenses
Salaries & wages	\$ 509,677	\$ 59,880	\$ 111,060	\$ 680,617
Employee benefits	84,263	9,900	18,361	112,524
Payroll taxes	44,936	5,279	9,792	60,007
Subtotal personnel	638,876	75,059	139,213	853,148
Depreciation	30,290	2,038	2,345	34,673
Dues, fees, & other charges	35,153	23,031	1,947	60,131
Insurance	87,320	5,875	6,759	99,954
Maintenance & repairs	14,613	983	1,131	16,727
Newsletters & communications	408,139	56,907	24,476	489,522
Occupancy	22,529	1,516	1,744	25,789
Contracted services	41,117	3,212	3,914	48,243
Postage	7,067	476	547	8,090
Professional fees	852,772	86,573	-	939,345
Research activities	38,164	-	-	38,164
Restoration	135,718	-	-	135,718
Supplies	21,480	1,445	1,663	24,588
Travel	12,038	810	932	13,780
Other	3,136	307	512	3,955
Total expenses	<u>\$ 2,348,412</u>	<u>\$ 258,232</u>	<u>\$ 185,183</u>	<u>\$ 2,791,827</u>

See accompanying notes.

Turtle Island Restoration Network
Statements of Cash Flows
Years Ended June 30, 2024 and 2023

	<u>2024</u>	<u>2023</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Change in net assets	\$ 327,680	\$ 240,736
Adjustments to reconcile change in net assets to net cash provided by operating activities		
Depreciation	34,084	34,673
Realized and unrealized gain on investments	(112,592)	(42,921)
Changes in operating assets and liabilities		
Accounts receivable	85,583	235,195
Prepaid expenses and deposits	6,260	11,058
Accounts payable	(34,411)	(88,131)
Accrued expenses	(23,918)	(13,797)
Deferred revenue	(14,236)	(153,876)
Net cash provided by operating activities	<u>268,450</u>	<u>222,937</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sales of investment	-	36,659
Purchases of investment	(41,125)	-
Net cash (used in) provided by investing activities	<u>(41,125)</u>	<u>36,659</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments on line of credit	(450,000)	-
Net cash used in financing activities	<u>(450,000)</u>	<u>-</u>
NET CHANGE IN CASH AND CASH EQUIVALENTS	(222,675)	259,596
CASH AND CASH EQUIVALENTS, beginning of year	<u>1,285,482</u>	<u>1,025,886</u>
CASH AND CASH EQUIVALENTS, end of year	<u><u>\$ 1,062,807</u></u>	<u><u>\$ 1,285,482</u></u>
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION		
Cash paid during the year for taxes	\$ 21	\$ 21,941
Cash paid during the year for interest	\$ 9,960	\$ 8,464

See accompanying notes.

Turtle Island Restoration Network

Notes to Financial Statements

Note 1 – Organization and Significant Accounting Policies

Turtle Island Restoration Network (Turtle Island, the Organization) is a California nonprofit public benefit corporation formed in 1997. Turtle Island Restoration Network is a leading advocate for the world's endangered marine wildlife. The Organization's work is based on science, fueled by people who care, and effective at protecting wildlife and habitats. The Organization focuses on catalyzing long-lasting positive changes that protect endangered species including wild Coho salmon, sea turtles, dolphins, whales, and sharks and extend to their watershed and ocean habitats.

Turtle Island preserves and restores critical habitats from the redwood-forested creek banks of West Marin to the biologically rich waters of Cocos Island, Costa Rica, to the shores of the Gulf of Mexico and around the globe. The Organization accomplishes its mission through grassroots empowerment, hands-on conservation, biological research and monitoring, strategic litigation, habitat restoration, environmental education, and by promoting science-based local, national, and international marine policies.

Turtle Island is primarily funded by grants and contracts from foundations and government entities as well as donations from individuals.

Turtle Island is headquartered on National Park Service land in Olema, California, with an office in Texas. The Organization's community includes more than 200,000 members, volunteers, and activists who power the Organizations hands-on conservation and policy work around the globe, multiplying its resources and amplifying the work it accomplishes with its relatively modest budget and staff.

Program Services

Oceans Protection Programs (OCEANS) – Nationally and internationally, Turtle Island works to recover endangered marine species through hands-on conservation, research, and advocacy campaigns. Since 1989, it has worked to protect and restore populations of endangered sea turtles and their habitats. Today the Organization uses its successful strategies to safeguard whales, dolphins, seals, seabirds, sharks, and fish, as well, and all human communities that rely on the oceans for nourishment.

The Organization works to reform fisheries, create marine protected areas, safeguard key sea turtle nesting beach habitats, build community engagement, and educate more than 3,000 students each year. These efforts extend from its Northern California headquarters office to the waters of the Pacific off California and Hawaii, to Texas and the Gulf of Mexico, to Costa Rica, Ecuador, and the Eastern Tropical Pacific Seascape and beyond to other key ocean habitats.

Salmon Protection and Watershed Network (SPAWN) – Turtle Island's headquarters are based in Marin County, California, where the largest surviving population of the critically endangered wild Coho salmon migrates and spawns. Through SPAWN, the Organization engages hundreds of volunteers each year to raise native plants and restore watershed habitat. It monitors spawning salmon and juvenile survival, assists landowners to protect creeks from erosion, and educates the public. It secures major wildlife agency grants for salmon habitat restoration. It also acquires land to protect watersheds and provides field and classroom watershed education to more than 500 San Francisco Bay Area students each year.

Through the Organization's residential internship program, it mentors recent college graduates as they begin conservation careers. It also advocates for fish-friendly public policies.

Turtle Island Restoration Network

Notes to Financial Statements

Through its 10,000 Redwoods Project (10000redwoods.org), Turtle Island engages community members in the San Francisco Bay Area, and beyond, to address climate change by adopting and raising native redwood trees. Redwood forests sequester more climate-changing carbon than any other forest and also provide the cool, clear forested streams that salmon need to survive. With its community, SPAWN is raising thousands of native trees in its plant nurseries and planting them to restore watersheds around the Bay Area.

Basis of presentation – The financial statements of the Organization are presented in conformity with accounting principles generally accepted in the United States of America (GAAP).

Net assets – Net assets are classified based on the existence or absence of donor-imposed restrictions. Accordingly, the Organization classifies net assets and changes in net assets as follows:

Without donor restrictions – Net assets for use in general operations and not subject to donor-imposed restrictions. Other than restrictions designated by the Board of Directors of the Organization, the only limits on net assets without donor restrictions are broad limits resulting from the Organization's purpose specified in its articles of incorporation or bylaws and, perhaps, limits resulting from contractual agreements. Release of funds designated as Board-restricted may only be done by authority of the Board. As of June 30, 2024 and 2023, there were no net assets with Board designation.

With donor restrictions – Represent contributions and other assets whose use are limited by donor-imposed restrictions. Some restrictions are temporary in nature, in that they either expire by the passage of time or by the fulfillment of certain actions pursuant to those stipulations or law. Gifts of cash restricted for the acquisition of long-lived assets are recognized as revenue when the assets are placed in service. Other donor restrictions are permanent as they neither expire by passage of time nor can be fulfilled or otherwise removed. Income from these assets can be with or without restrictions based on donor stipulations or law.

Cash and cash equivalents – Cash and cash equivalents consist of cash on hand and highly liquid investments with original or remaining maturities of three months or less at the time of purchase.

Accounts receivable – Accounts receivable is valued at net realizable value. The Organization provides various program services to agencies for conservation services. The Organization's policy is to establish an allowance for uncollectable accounts based on historical experience and management's evaluation of outstanding balances at the end of each year. The Organization's management considers all accounts receivable to be fully collectible within one year. Accordingly, no allowance for credit losses has been established at June 30, 2024 and 2023.

Investments – Investments are stated at fair value and consist of equity securities, government securities, corporate bonds and notes, certificates of deposit, and municipal securities. Realized and unrealized gains and losses on investments, dividends, and interest income are included in investment return, net, on the statements of activities and changes in net assets. See Note 3 for investments fair value.

Turtle Island Restoration Network

Notes to Financial Statements

Fixed assets, net – Fixed assets are recorded at cost when purchased or at estimated fair market value when donated. It is the Organization's policy to capitalize items that have a life greater than two years and a cost of \$1,000 or more. Depreciation is calculated using the straight-line method over the asset's estimated useful life, which ranges from five to forty years. As of June 30, 2024 and 2023, management evaluated fixed assets for impairment, and concluded that the carrying value was recoverable.

Revenue recognition – Revenue from program services are recognized to the extent of allowable expenses related to the contract when incurred and performance obligations are satisfied. Contribution revenue from research expeditions utilizing citizen scientists are recognized when the trips are complete. In-kind revenue are recognized as services are incurred and recognized at the estimated fair market value. Grant revenue are recognized as grant funding are received or unconditionally promised. Grants are initially reported as an increase in net assets without donor restrictions, or with donor restrictions if they are received with stipulations that restricts the use of the assets. When restrictions expire (generally as payments are made to fulfill the grantor-imposed purpose of the grant), net assets with donor restrictions are reclassified to net assets without restrictions and reported in the statements of activities and changes in net assets, as net assets released from restriction. Any excess of expenses over cash received is recorded as accounts receivable, if appropriate; any excess of cash received over expenses is recorded as deferred revenue. Advance payments and signed agreements are classified as deferred revenue and recognized as revenue upon the expenditure of allowable costs or completion of the stages of the projects.

Functional expenses – The costs of providing the program services and supporting services have been summarized on a functional basis in the statements of activities and changes in net assets and in the statements of functional expenses. Expenses that can be directly identified with a specific function are allocated directly to that function. Expenses that cannot be directly identified with a specific function are allocated among the program services and the supporting services activities benefited based upon employee time and effort recorded on functions related to the specific activity, or in the case of shared expenses, using an allocation based on personnel costs, space usage, or other relevant bases.

Use of estimates – In preparing financial statements in conformity with GAAP, the Organization's management is required to make estimates and assumptions that affect certain reported amounts and disclosures. Actual results could differ from those estimates under different assumptions or conditions.

Concentration of credit risk – The Organization manages deposit concentration risk by placing cash, money market accounts, and certificates of deposit with financial institutions believed by management to be creditworthy. At times, amounts on deposit may exceed insured limits or include uninsured investments in money market mutual funds. To date, the Organization has not experienced losses in any of these accounts. Credit risk associated with contributions receivable is considered to be limited due to high historical collection rates and because substantial portions of the outstanding amounts are due from donors supportive of the Organization's mission. Investments are made by diversified investment managers whose performance is monitored by management and the Board of Directors. Although the fair values of investments are subject to fluctuation on a year-to-year basis, management and the Board of Directors believe that the investment policies and guidelines are prudent for the long-term welfare of the Organization.

Turtle Island Restoration Network

Notes to Financial Statements

Accounts receivable consist primarily of unsecured amounts due from individuals, corporations, foundations, and government agencies. As of June 30, 2024, there were no accounts receivable concentrations. As of June 30, 2023 approximately 46% of accounts receivable were from two organizations.

Income taxes – The Organization is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and Section 23701(d) of the California Code. The Organization is considered a publicly supported organization. Accordingly, no provision for federal or California income tax is reflected in the accompanying financial statements.

The Organization recognizes the effects of its income tax positions only if those positions are more likely than not of being sustained. The Organization has evaluated its tax positions and has concluded as of June 30, 2024 and 2023, that the Organization does not have any significant uncertain tax positions for which a reserve would be necessary.

Recent adopted accounting pronouncements – Effective July 1, 2023, the Organization adopted Financial Accounting Standards Board (FASB) Accounting Standards Update (ASU) No. 2016-13, *Financial Instruments – Credit Losses (Topic 326)*, which required the use of the current expected credit losses (CECL) impairment model for a broad scope of financial instruments, including financial assets measured at amortized cost, net investments in leases, and certain off-balance sheet credit exposures. The CECL model required the immediate recognition of estimated expected credit losses over the life of the financial instrument. Under this standard, disclosures are required to provide users of the financial statements with useful information in analyzing an entity's exposure to credit risk and the measurement of credit losses. The impact of the adoption was not considered material to the financial statements.

Subsequent events – Subsequent events are events or transactions that occur after the statement of financial position date, but before the financial statements are available to be issued. The Organization recognizes in the financial statements the effects of all subsequent events that provide additional evidence about conditions that existed at the date of the statement of financial position, including the estimates inherent in the process of preparing the financial statements. The Organization's financial statements do not recognize subsequent events that provide evidence about conditions that did not exist at the date of the statement of financial position, but arose after the statement of financial position date and before the financial statements were available to be issued.

The Organization has evaluated subsequent events through December 3, 2024, which is the date the financial statements were available to be issued.

Turtle Island Restoration Network

Notes to Financial Statements

Note 2 – Liquidity and Availability of Resources

Financial assets available for general expenditures, that is without donor-imposed restriction or other restrictions limiting their use, within one year of the statements of financial position at June 30, consist of the following:

	2024	2023
Cash and cash equivalents	\$ 1,062,807	\$ 1,285,482
Accounts receivable	62,321	147,904
Investments	1,019,389	865,672
	<u>1,144,517</u>	<u>2,299,058</u>
Net financial assets available to meet cash needs for general expenditures within one year	<u>\$ 2,144,517</u>	<u>\$ 2,299,058</u>

None of these financial assets are subject to donor or other contractual restrictions that make them unavailable for general expenditure within one year of the statements of financial position date. The Organization has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due.

Note 3 – Investments

In accordance with GAAP, the Organization uses the following prioritized input levels to measure fair value. The input levels used for valuing instruments are not necessarily an indication of risk.

Level 1 – Quoted market prices for identical instruments traded in active exchange markets.

Level 2 – Quoted prices for similar instruments in active markets, quoted prices for identical or similar instruments in markets that are not active, and model-based valuation techniques for which all significant assumptions are observable or can be corroborated by observable market data.

Level 3 – Model-based techniques that use at least one significant assumption not observable in the market. These unobservable assumptions reflect the Organization's estimates of assumptions that market participants would use on pricing the asset or liability. Valuation techniques include management judgment and estimation which may be significant.

Turtle Island Restoration Network

Notes to Financial Statements

Investments are reported at fair value and consist of the following as of June 30, 2024 and 2023:

	2024			
	Total	Level 1	Level 2	Level 3
Equity securities	\$ 387,799	\$ 387,799	\$ -	\$ -
Government securities	214,565	-	214,565	-
Corporate bonds and notes	158,494	-	158,494	-
Certificates of deposit	51,243	-	51,243	-
Municipal securities	207,288	-	207,288	-
Total investments	<u>\$ 1,019,389</u>	<u>\$ 387,799</u>	<u>\$ 631,590</u>	<u>\$ -</u>

	2023			
	Total	Level 1	Level 2	Level 3
Equity securities	\$ 311,828	\$ 311,828	\$ -	\$ -
Government securities	138,910	-	138,910	-
Corporate bonds and notes	153,826	-	153,826	-
Certificates of deposit	48,852	-	48,852	-
Municipal securities	212,256	-	212,256	-
Total investments	<u>\$ 865,672</u>	<u>\$ 311,828</u>	<u>\$ 553,844</u>	<u>\$ -</u>

Investment return net of expenses and fees consists of the following for the years ended June 30:

	2024	2023
Interest and dividends	\$ 29,224	\$ 16,128
Net realized and unrealized gain	112,592	42,921
Total investment return, net	<u>\$ 141,816</u>	<u>\$ 59,049</u>

Turtle Island Restoration Network

Notes to Financial Statements

Note 4 – Fixed Assets, Net

Fixed assets, net are comprised of the following as of June 30:

	2024	2023
Land	\$ 1,216,503	\$ 1,216,503
Building and improvements	1,252,523	1,252,523
Equipment and furniture	22,613	22,613
	2,491,639	2,491,639
Less accumulated depreciation	(299,805)	(265,721)
Total fixed assets, net	<u>\$ 2,191,834</u>	<u>\$ 2,225,918</u>

Depreciation expense was \$34,084 and \$34,673 for the years ended June 30, 2024 and 2023, respectively.

Note 5 – Line of Credit

UBS Bank USA Line of Credit – In November 2021, the Organization entered into a line of credit agreement with UBS Bank USA and drew \$450,000 with a fixed interest rate of 1.85% and a contract period of November 29, 2021 to November 29, 2023. On November 27, 2023, the Organization repaid the \$450,000 outstanding balance on its line of credit with UBS Bank USA.

Note 6 – Commitments

The Organization leases property in Olema, California, from the United States National Park Service to conduct most of its activities. The property consists of two buildings, a shed, and land which the Organization is required to maintain in exchange for occupancy; and as such, the management has recognized an in-kind facility donation. In addition, the management conducts some of its program efforts in a facility located in Galveston, Texas. There are no material future lease payments due under these agreements, as the Organization purchased property in Galveston, Texas.

Note 7 – Net Assets with Donor Restrictions

Net assets with donor restrictions as of June 30, consisted of the following:

	2024	2023
Time restriction		
Expansion of certain services and programs	\$ 281,059	\$ 225,762
Total	<u>\$ 281,059</u>	<u>\$ 225,762</u>

Turtle Island Restoration Network

Notes to Financial Statements

All net assets with donor restrictions as of June 30, 2024 and 2023, are expected to be released from restriction within one year.

Net assets with donor restrictions released from restriction for the years ended June 30, 2024 and 2023, were as follows:

	2024	2023
Time restriction		
Expansion of certain services and programs	\$ 417,317	\$ 291,856
Total	<u>\$ 417,317</u>	<u>\$ 291,856</u>

Note 8 – In-Kind Donations

In-kind donations for the years ended June 30, 2024 and 2023, are as follows and are stated at estimated fair market value:

	2024	2023
Facilities	\$ 79,864	\$ 79,864
Legal fees	1,372,959	730,078
Advertising and marketing	<u>122,602</u>	<u>42,830</u>
Total in-kind donations	<u>\$ 1,575,425</u>	<u>\$ 852,772</u>

The Organization recognized in-kind donations within revenue, including contributed facilities, land, and services. The in-kind donations did not have donor-imposed restrictions.

The contributed facilities consist of two buildings, a shed, and land which the Organization is required to maintain in exchange for occupancy and is used to conduct most of its activities. In valuing the contributed facilities, which are located in Olema, California, the Organization estimated the fair value on the basis of lease rates of similar properties in the area.

The contributed services are comprised of advertising and marketing and professional services from attorneys advising the Organization on various administrative legal matters. Contributed services are valued and are reported at the estimated fair value in the financial statements based on current rates for similar legal services.

The Organization also received thousands of hours of donated services from a variety of unpaid volunteers assisting in leadership, committees, fundraising activities, and program services. The value of this donated time is not reflected in the accompanying financial statements since it does not meet the criteria for recognition as in-kind donations, but for the year ended June 30, 2024, the Organization relied upon and celebrates the 4,210 volunteer hours contributed to the Organization at a total value of \$105,250 (unaudited) based on analysis of hourly value by Independent Sector.

Turtle Island Restoration Network

Notes to Financial Statements

Note 9 – Contingencies

The Organization is largely funded by government and foundation grants and is subject to financial and compliance audits by those grantors or their representatives. The amount, if any, of expenditures that may be disallowed by the granting agencies, if any, cannot be determined at this time.

The Organization is subject to various claims covering a range of matters that arise in the ordinary course of its business activities. In the opinion of the Organization, although the outcome of any claims or legal proceedings cannot be predicted with certainty, management has determined that the ultimate liability of the Organization in connection with its claims and legal proceedings will not have a material adverse effect on its financial position or operations.

